kind of funds the industry will have to come up with to take all the spectrum on offer. Some estimates place the amount in excess of a couple of lakh crore.

Considering the potential revenue 5G telecom spectrum can generate and the morass the telecom industry finds itself in, only one of the three players seems to have indicated an interest. If the auction attracts just one bidder, it is no auction at all. This has been the situation until February 2021 with no auction of 5G telecom spectrum. In February 2021, the TRAI Chairman expressed his willingness to look at the reserve prices if the government were to make a request to that effect. Some work has been initiated in this regard, but there is no definitive movement.

The principal advantage of 5G spectrum would be the expansion of the digital economy. 5G telecom spectrum will build digital expressways/superhighways and connect machines and equipment in the form of the Internet of Things. The future economy will be built on these digital superhighways like the analogue economy was built on roads and highways in the last century. The best way to protect revenue in the current circumstances is to link spectrum charges to the revenues that 5G spectrum and licence would generate for telecom companies. In view of the massive infrastructural role that 5G spectrum will play, it might be worthwhile to allocate 5G spectrum at a very low capital/one-time cost, somewhere close to one-tenth/one-fourth of the reserve price recommended by TRAI. Such an arrangement would serve the national interest and Indian economy well.

Policy Reforms to Make Power Supply to Industry Competitive

To make Indian industry competitive and manufacturing to take off, electricity pricing for industry has to be rationalized.

First, distorting and debilitating measures need to be done away with. These include abolishing cross-subsidy surcharge on open-access purchases; removing all restrictions on sale of power on captive power-